

STATE OF OKLAHOMA

2nd Session of the 60th Legislature (2026)

HOUSE BILL 2942

By: Hildebrandt

AS INTRODUCED

An Act relating to revenue and taxation; creating the Health Care Sharing Ministry Tax Parity Act; providing legislative findings; defining terms; providing for income tax deduction; providing procedure for claiming deduction; requiring Oklahoma Tax Commission to create forms and guidelines; providing funds to be nontaxable; providing Oklahoma Tax Commission with administrative oversight; providing penalties for fraudulent claims; providing for severability; providing for noncodification; providing for codification; and providing an effective date.

BE IT ENACTED BY THE PEOPLE OF THE STATE OF OKLAHOMA:

SECTION 1. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

This act shall be known and may be cited as the "Health Care Sharing Ministry Tax Parity Act".

SECTION 2. NEW LAW A new section of law not to be codified in the Oklahoma Statutes reads as follows:

The Legislature finds and declares:

1. Health Care Sharing Ministries (HCSMs) play a significant role in addressing medical needs for individuals and families,

1 providing financial and emotional support outside of health
2 insurance.

3 2. HCSMs enable their members to share health care costs in a
4 voluntary and community-focused manner consistent with their ethical
5 and religious beliefs.

6 3. Despite their critical function, HCSM contributions and
7 payments are not currently afforded the same tax treatment as health
8 insurance premiums under state law.

9 4. To ensure fairness and eliminate financial discrimination,
10 this act allows HCSM members to deduct qualifying expenses and
11 contributions on their state income tax returns, achieving tax
12 parity with health insurance plans.

13 SECTION 3. NEW LAW A new section of law to be codified
14 in the Oklahoma Statutes as Section 2358.111 of Title 68, unless
15 there is created a duplication in numbering, reads as follows:

16 A. As used in this act:

17 1. "Health Care Sharing Ministry" (HCSM) means a not-for-profit
18 organization that is tax-exempt under Section 501(c)(3) of the
19 Internal Revenue Code and:

20 a. limits its members to those who share a common set of
21 ethical or religious beliefs,

22 b. facilitates sharing of medical expenses between
23 members in accordance with its ethical or religious
24 beliefs,

- c. requires regular contributions from members with no assumption of risk or promise to pay for medical expenses,
- d. provides at least a quarterly report to members detailing the amount of needs shared and contributions received,
- e. conducts an annual audit which is performed by an independent certified public accounting firm in accordance with generally accepted accounting principles and which is made available to the public upon request, and
- f. provides a disclaimer stating that it is not an insurance company and participation is voluntary;

2. "Qualified Health Care Sharing Expenses" means amounts paid by a qualified individual as a member of an HCSM; and

3. "Qualified Individual" means any resident of Oklahoma who has been an active member of an HCSM for at least one (1) month during the applicable tax year.

B. 1. For tax years beginning on or after January 1, 2027, a qualified individual is entitled to deduct the total amount of qualified health care sharing expenses paid during the taxable year from their adjusted gross income (AGI) on their Oklahoma state income tax return.

1 2. The deduction allowed under this section shall be applicable
2 to:

- 3 a. self-employed individuals, in the same manner as
- 4 deductions for health insurance premiums,
- 5 b. employer contributions toward HCSM membership for
- 6 employees, which shall be treated as nontaxable fringe
- 7 benefits, and
- 8 c. individuals paying amounts for HCSM membership for
- 9 themselves or their dependents.

10 C. 1. To claim the deduction, a qualified individual must:

- 11 a. submit documentation of membership and contributions
- 12 to an HCSM, including any records issued by the
- 13 ministry, and
- 14 b. file any additional forms or information required by
- 15 the Oklahoma Tax Commission to verify eligibility.

16 2. The Oklahoma Tax Commission shall develop forms, guidelines,
17 and procedures for the implementation of this section.

18 D. Funds received by a qualified individual from HCSM members
19 to assist with medical expenses shall not be considered taxable
20 income under Oklahoma state law.

21 E. The Oklahoma Tax Commission shall be responsible for
22 administering the provisions of this act. The Tax Commission shall
23 issue an annual report to the Legislature detailing the number of
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1 deductions claimed, the total fiscal impact, and any other relevant
2 data.

3 F. Any individual who knowingly submits false documentation to
4 claim the deductions or exemptions under this act shall be subject
5 to:

6 1. Repayment of any income tax amount attributable to
7 improperly claimed deductions;

8 2. A civil penalty of Five Hundred Dollars (\$500.00) per
9 offense; and

10 3. Ineligibility to claim deductions under this act for a
11 period of three (3) years.

12 G. If any provision of this act is found unconstitutional or
13 invalid by a court of competent jurisdiction, the remaining
14 provisions shall remain in full force and effect.

15 SECTION 4. This act shall become effective November 1, 2026.

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